ANATOMY OF A TRADE

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Many moons ago, I watched a forex technical analysis course. It talked about pips, candlesticks, bull flags, bear flags, pennants, it had it all. I still have my notes I took while watching it all these years later. I distinctly remember the feeling however, of finishing the course, and saying to myself "I have no idea what I'm supposed to do".

The technical setup of a trade is but one small aspect of trading, especially when you factor in the various types of trades people take, time frames, and indicators in a fast-moving market. To help you bridge the gap from technicals to execution, let's dissect the anatomy of a trade.

Scanning

The first aspect of a trade is to identify how you will find your setup. Whether trading forex, stocks, crypto, commodities, how are you going to find the setups you want within the millions of tickers? There are several ways to do this. First, you can use scanners in trading platforms, like Think or Swim, or TradingView in order to screen for the criteria you want in a trade. By inputting your own personal criteria for volume, Bollinger band width, inside bars, moving averages etc. you can narrow your search to your trading needs. The second way is to keep a constant watch list going, and visually scan through the setups that meet your criteria. The pros of this way is that you can get more practice looking through charts, and become familiar with the price action, the cons is that it can be time consuming until you've put in several hours. Thirdly, you can use a service that already identifies potential setups, and then adapt the ones that fit to your own trading style. Lastly, you can join a trading community (shameless plug!) like ours and get various trade setups/scenarios all the time, and simply pick the ones suitable to your trading edge.

Alerts

Trading requires focus, and it's easy to forget setups once you're in the thick of it. Setting alerts as price approaches your setup, with specific details of your plan can help you keep your head clear for trading, while not missing your setups. A quick note on the alert to remind yourself of the thesis of the trade can quickly qualify each trade as it approaches your setup.

Stock Selection

Especially for day traders, stock selection is very important. Not all stocks are created equal, and not all setups either. Successful selection doesn't mean the trade will work out, but it does mean that it checks off enough of your boxes to increase your odds of success. Selecting a stock to trade means you're aware of its habits, and your signals/indicators are supportive of your best setups. This also means that one trader's ideal setup will be another traders' foe. Stocks up for selection should have clarity, structure, adhere to your trading rules, and mostly, should clearly show you where you are wrong. As one TCG community member so aptly put it "When I am not trading my signals, I am trading my bias".

Risk/Reward

"I have a good entry on XYZ", what should I do?" Traders are wrong. Often. The thing that separates successful traders from unsuccessful ones is risk management. If you enter a trade and don't have an exit plan, how can you possibly know it's a good entry? Just because a stock is temporarily trading in your favor, does not mean it's a good trade if there is no exit plan to back it up. Knowing how you will get out of the trade, especially if you're wrong, is necessary before you enter. Once you know where you are wrong, where your thesis is invalidated, where you will stop out, only then can you start to calculate your risk reward on the trade.

Fight for Price/Location

I've heard traders say "I trade my price or I don't trade at all". Once you've established your method of technical analysis, you have to fight to maintain that discipline. If you identify where you want an entry, then each tick away increases your risk on the trade. Too often traders get antsy waiting for price to hit their entry and enter early only to watch the trade start to go against them or exit early only to watch it continue. Your location/entry on a trade could be the difference between keeping you in for a big win or walking away frustrated before a big move.

Size Appropriately

Prior to entering trades, you should have an idea how much you want to risk. Things to consider, the quality of the setup, the duration of the trade, the likelihood of stopping out vs playing out. Oftentimes traders will continue to scale into weakness when a trade is going against them, hoping that will dig them out of the whole. Instead, each new scale increases their risk profile and their anxiety. Each trade is its own, it is one out of thousands a trader will make, and that size should not change too drastically from trade to trade. Unless you're sizing up on your A+ setups.

Sizing up your A+ Setups

One of the most common things traders will do is size up on their losers. It is far harder on the mind, but far more profitable to size up on your winners. If you enter a trade and it immediately starts going your way, the market is showing you that you have the right idea. While sticking to your rules, entries and overall trade plan, these are the kinds of trades that it makes to size up, the ones that are a) your most profitable setup, and b) working in your favor. Using this strategy, you can trade around a core position while simultaneously bettering your cost average, allowing you to keep yourself in a profitable trade longer.

Scale Out

There are several scale-out methods, and some will be outlined quickly below. But the benefits of scaling out of a trade cannot be overstated. Locking in profits along the way on a successful trade can ease your anxiety, reduces your overall risk, forces good habits and keeps you in a trade far longer than a single point exit. Scales can be made to ensure a break-even stop, at a key resistance point, either by using price, Fibonacci sequences, moving averages or trailing stops. The last scale, the runner, is play out or stop out (POSO) to your final price target/exit criteria. To ensure good risk reward, it is important that when we take a trade, we let it play out to target, otherwise unknowingly, we are increasing the risk of each trade we take. Take for example someone buying a stock at 100, targeting 110, with a stop loss of 95. If every time we took this setup, we sold entirely into 105, then functionally our risk reward is not the 2:1 we set up going into the trade, it is 1:1, and this can greatly skew our results.

Journal

Know thyself, know thy instrument. In the first section, we talked about your best setup. If you don't have data, how can you know what your best setup is? How do you know your edge if you don't track what works, and what doesn't? Sticking to your rules on a trade requires knowing the rules, which should be established by what works, and what doesn't. Take the time to quickly log, track, reflect and hone your craft by journaling.

So, what's your A+ setup?

For more useful resources, training courses, and our trading community, please visit us online at...

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